
ECONOMICS

0455/21

Paper 2 Structured Questions

**Predicted
Advanced**

2 hours 15 minutes

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer four questions in total:
- Section A: answer Question 1.
- Section B: answer three questions.
- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 90.
 - The number of marks for each question or part question is shown in brackets [].
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This document has 8 pages. Any blank pages are indicated.

Section A

Read the source material carefully before answering Question 1.

Source material: Germany: export powerhouse or economy in transition?

Germany fact file	2023
Population	84.4 m
Labour force	43.9 m
Unemployment rate	3.1 %
Inflation rate	5.9 %
Current account surplus (% of GDP)	6.2 %

Germany is Europe's largest economy and a member of the European Union (EU). Exports account for approximately 47% of its GDP. The country's manufacturing sector, particularly cars and machinery, is the largest contributor to exports. A 5% appreciation of the euro against the US dollar in 2023 was estimated to reduce demand for German car exports to the USA by 8%.

Germany faces structural challenges. Its population is ageing: 22% of people are over 65, and the labour force is projected to fall by 3 million by 2035 unless immigration rises. To attract skilled workers, the government has made it easier for non-EU nationals to obtain work visas. Germany is also transitioning towards a 'green' economy, aiming for carbon neutrality by 2045.

The European Central Bank (ECB) sets monetary policy for all euro-zone members. It raised interest rates from 0% to 4.5% during 2022–23 to combat inflation. This reduced consumer spending across the euro zone. Table 1.1 compares selected euro-zone economies.

Table 1.1 Selected indicators for four euro-zone economies in 2023

Country	Real GDP growth (%)	Unemployment (%)	Current account balance (% of GDP)	Government debt (% of GDP)
France	0.9	7.4	– 0.6	110
Germany	– 0.3	3.1	+ 6.2	64
Italy	0.7	7.6	+ 1.3	138
Spain	2.5	11.2	+ 2.7	107

Germany's car industry is under pressure. Chinese car-makers, many of them state-supported, are exporting electric vehicles (EVs) to Europe at prices 20% below those of German-made EVs. The EU has started an investigation into possible dumping.

Some German industries, including steel and chemicals, are subject to the EU's Emissions Trading Scheme, which attaches a price to carbon emissions. Large firms argue this raises their costs relative to non-EU competitors. Smaller firms, by contrast, receive partial exemptions.

Answer all parts of Question 1. Refer to the source material in your answers.

1

- (a)** Calculate, using the source material, the price elasticity of demand for German car exports to the USA. [1]
- (b)** Identify two methods, other than tariffs, that the EU may use to restrict imports of Chinese EVs. [2]
- (c)** Explain what is meant by dumping. [2]
- (d)** Explain two ways in which carbon pricing can reduce the external costs of pollution. [4]
- (e)** Analyse the data in Table 1.1 to compare Germany's economic performance with the other countries. [4]
- (f)** Analyse, using a diagram, the effect of an anti-dumping duty on imported Chinese EVs on the German car market. [5]
- (g)** Discuss whether or not a common monetary policy is suitable for all members of a monetary union. [6]
- (h)** Discuss whether or not an increase in immigration will benefit Germany. [6]

[Total: 30]

Section B

Answer any three questions.

Each question is introduced by stimulus material. In your answers you may refer to the material and/or other examples you have studied.

- 2** In 2023, two of the world's largest video-streaming firms merged, combining more than 40% of the market. Regulators are investigating whether the merger reduces competition. Concerns have been raised about prices and choice for consumers.

- (a)** Define monopoly. [2]
- (b)** Explain two possible drawbacks of monopoly for consumers. [4]
- (c)** Analyse reasons why a merger may benefit consumers. [6]
- (d)** Discuss whether or not a government should prevent large mergers. [8]

[Total: 20]

- 3** A government introduces a subsidy for the purchase of electric vehicles (EVs). The subsidy is \$5 000 per vehicle and is paid to the consumer. Demand for EVs rises but the scheme is costly to the treasury and charging infrastructure fails to keep up.

- (a)** Identify two types of external benefit from the use of EVs. [2]
- (b)** Explain two reasons why a government may subsidise merit goods. [4]
- (c)** Analyse, using an appropriate diagram, how a subsidy affects a market. [6]
- (d)** Discuss whether or not subsidies are the best policy to promote the use of EVs. [8]

[Total: 20]

- 4** A country has had persistently low productivity for a decade. Its government is considering a range of supply-side policies to raise productivity, including spending on education, lowering corporation tax, and deregulating the labour market.

- (a)** Define productivity. [2]
- (b)** Explain two reasons why productivity may be low in a country. [4]
- (c)** Analyse the effects of an increase in labour productivity on the economy. [6]
- (d)** Discuss whether or not supply-side policies are effective in raising long-run economic growth. [8]

[Total: 20]

- 5** Country X operates a floating exchange rate. Its currency has depreciated by 15% over two years. Inflation has risen to 9%. The country is running a current account deficit of 4% of GDP.

- (a)** Identify two components of the current account of the balance of payments. [2]
- (b)** Explain two reasons why a country may run a persistent current account deficit. [4]
- (c)** Analyse the likely effects of a 15% depreciation on the balance of payments. [6]
- (d)** Discuss whether or not a floating exchange rate system is better than a fixed system. [8]

[Total: 20]

END OF PAPER